Commentary

As we write this report, markets have shifted dramatically since the end of the first quarter of 2025. Here we will focus only on the events and the performance of the first three months without discussing recent volatility and challenges. The portfolio was down -1.44% (Series A) in the month of March ending a fairly strong quarter up 6.10% (Series A).

The theme of March was concern over the impact of tariff policies. The stock market turned down. Which led to gains in our short US equities position.

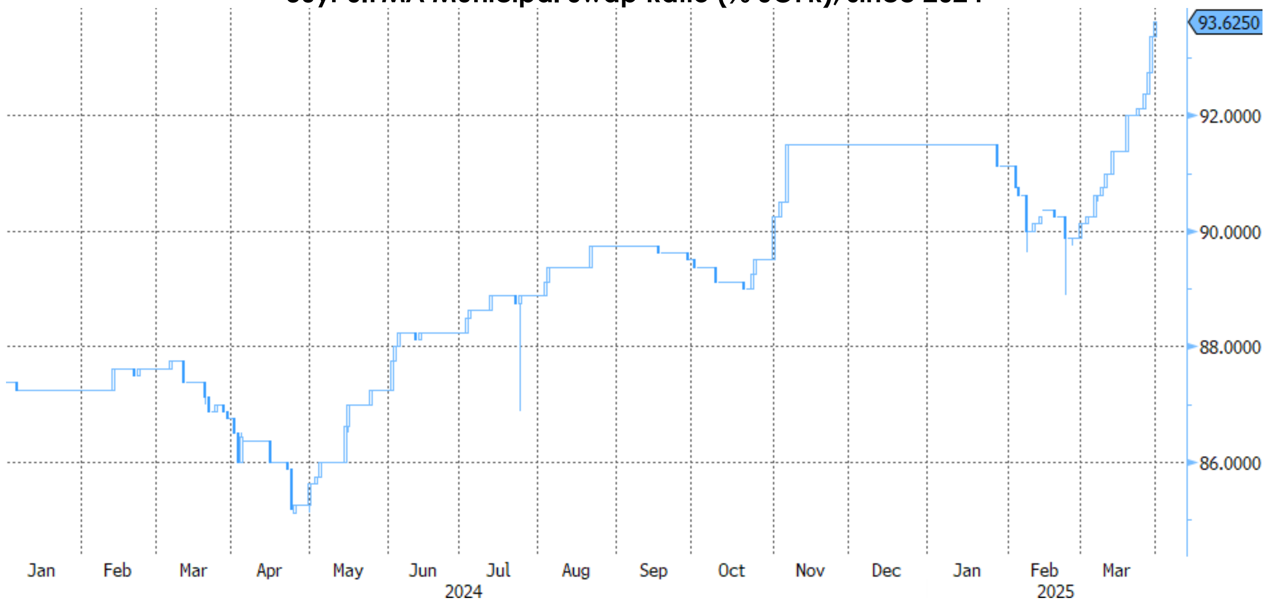
S&P500 Index Future (ES1), roll adjusted, since 2024

Economic data in the first quarter remained mixed and mostly inconclusive but started to lean towards the weaker side. Revisiting March 2020 trading action five years later: amidst the beginning of the covid pandemic we saw multiple releases of positive economic data, which caused a cognitive dissonance. All the statistics pertaining to the pre-pandemic months appeared robust, meanwhile we knew very well that the data was about to tank due to the shutdowns. We find ourselves in a similar situation now. We don't yet know how much tariff uncertainty or the lack of wealth impulse from the stock and bond market will impact incoming inflation and growth data.

Our view remains that, regardless of the trade policy, high real rates are in the process of working their way through the economy and will have to come down significantly. In fact, long-dated TIPs underperformed in March, reversing their earlier gains, which was a headwind for our portfolio.

A further negative development for our portfolio in the fixed income world was the weakening of the municipal market.

30yr SIFMA Municipal Swap Ratio (% SOFR), since 2024



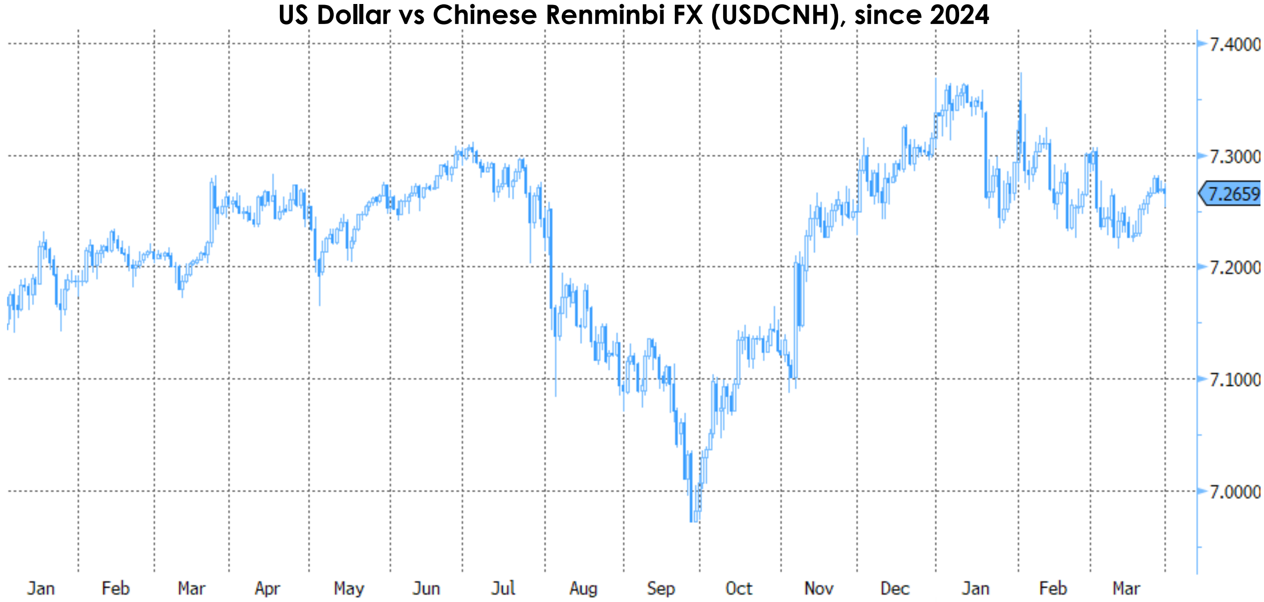
This move is not completely surprising as there is a "beta" component to the municipal index swaps, and furthermore, the approach of April 15th tax date creates a negative seasonality for tax-exempt securities.

We do not have a strong standalone view on municipal swap percentages here. Current levels are very attractive, and the carry remains lucrative, but our central expectation is for much lower interest rates, and in a lower rates environment percentages typically go up. However, we continue to like this position as it has a lot of potential for future carry if interest rates are realized according to the current market-projected forwards (rather than our speculations). It acts as a diversification for our long duration positions.

While many expected that increasing tariff pressure would lead to a stronger current account for the United States, and correspondingly to a strong dollar, the actual price action has been mixed and confusing so far.

In fact, China's currency, despite being central to the US tariff escalation, strengthened in March (USDCNH lower) negatively impacting our portfolio.

US Dollar vs Chinese Renminbi FX (USDCNH), since 2024

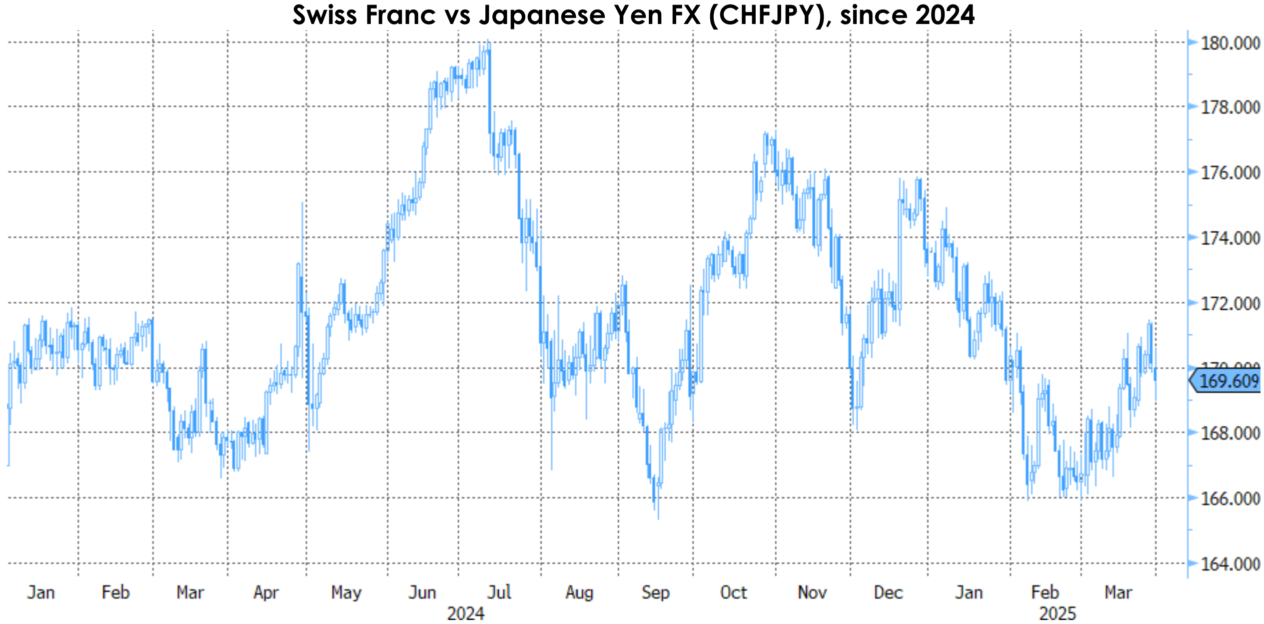


Bitcoin weakened further, reversing much of its post-election gains over the past quarter.

Bitcoin Future (BTC1), roll adjusted, since 2024

CHFJPY reversed course as well in March, giving up about half of our gains for the year.

Swiss Franc vs Japanese Yen FX (CHFJPY), since 2024



Saving the best for last: the star performer this month was the precious metals and miners complex. It was led by gold, breaking to new all-time highs.

Gold Future (GC1), roll adjusted, since 1970

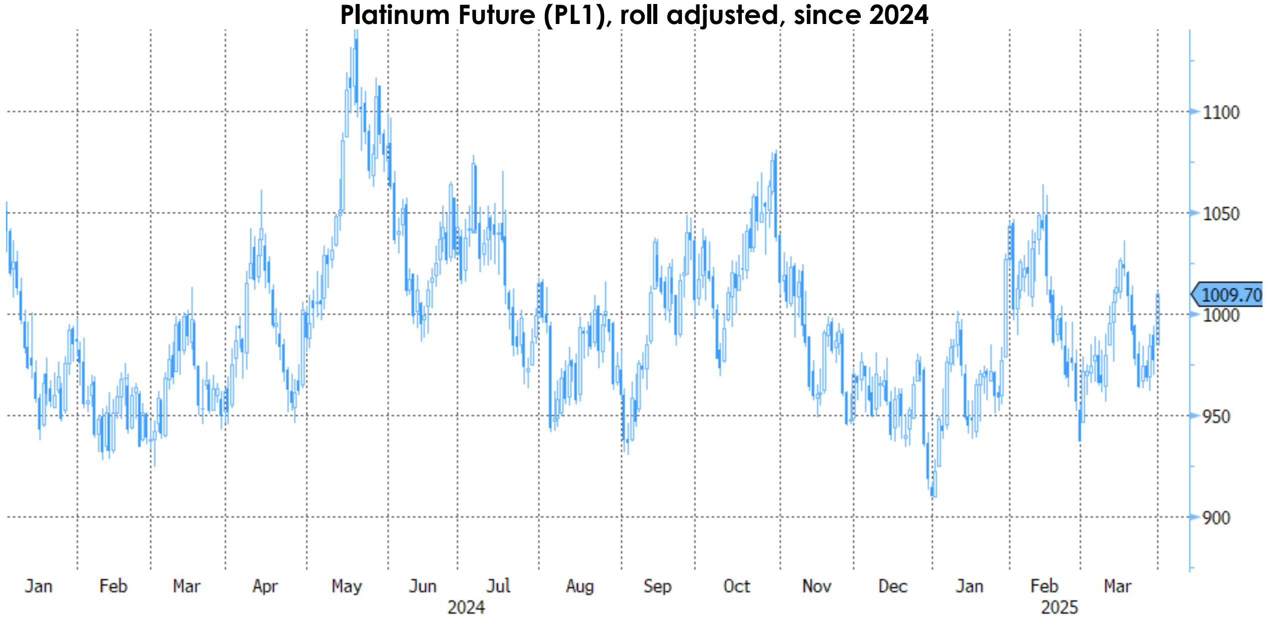
Copper was very strong on the back of potential import tariffs.

Copper Future (HG1), roll adjusted, since 2024

Silver and platinum gained as well.

Silver Future (SI1), roll adjusted, since 2024

Platinum Future (PL1), roll adjusted, since 2024



We still don't put a lot of energy into explaining gold's performance. There are other money managers who are very passionate about gold and have strong theories about its value. We, on the other hand, just follow historical patterns.

It is worth noting that gold has reached (and surpassed) our long-term target of 3,000. However, gold mining stocks have been underperforming and there remains a lot of value. Platinum and silver, in our opinion, offer more value on their own in the long run.

We are staying the course while adjusting our positions opportunistically. Our only major change was that we reduced our deferred oil position by 50%, as we believe the theory behind that position has run its course.

In terms of the outlook, if our view is correct, we are entering a deflationary slowdown and China will take the brunt of it, eventually having to devalue its currency. However, as before the GFC there may be some time of chaos, where prices move not in the direction of economic indications, but in the direction of vulnerability of market participants.